

three to five big examples of out-licensing to bring a certain level of confidence. The number of clinical trials is slowly increasing and that is a positive.” A lot of money goes into developing novel products and these have inherent risks because “a molecule can get rejected at any stage of development”.

There is work to be done here, though, and perhaps a fair bit of investment. Rajesh Pherwani, Founder of Valcreate Investment Managers, a portfolio management services firm, says, “A lot of research needs to be done to develop and get approvals in developed markets.” For an Indian company to launch its own product in the US and EU, the outgo is significant. “It may require investments of \$100–200 million per product till commercialisation. Gross margins are very attractive in the US, but R&D is a big investment to be made upfront for backend benefits.”

Closer home, the potential may take some time to translate into numbers because biosimilars adoption is still a while away in India. “Biocon (the company has a tie-up with Mylan for regulated markets apart from having acquired its biosimilars business early this year for \$3.3 billion) and Lupin are the only companies that targeted regulated markets in the early days of patent

expiry (2020–24) and both are yet to rake in meaningful numbers. Dr. Reddy’s too has a pipeline but that will take time,” points out Pherwani.

Emerging markets and the EU provide potentially easier pathways to launch, though the largest market is the US. There is also an immediate window of opportunity here because the value of patent expiries in the US is to the tune of \$60 billion between 2020 and 2024 and another \$10 billion in the EU. “The only way Indian companies can make a quick entry into the US is inorganically.”

CONSOLIDATION TIME

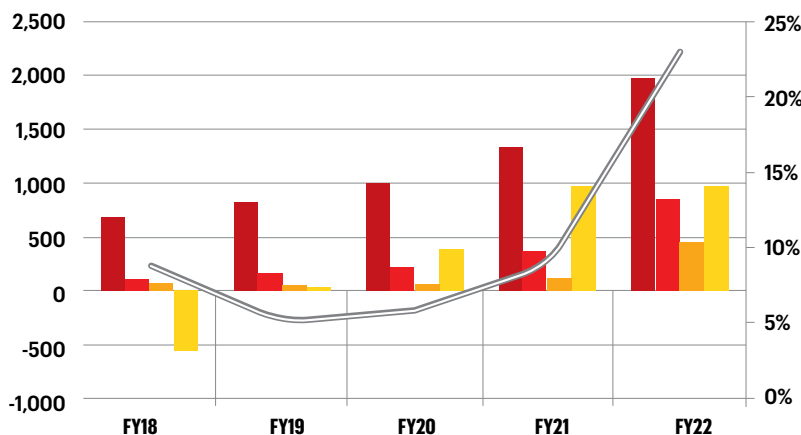
RLS is now looking to strengthen the existing areas of businesses, while scouting for new opportunities. “One is diagnostics, where we want to have an all-India laboratory-based network model. This is being incubated and we are starting off in a small way,” says Subramaniam.

Then there is its vaccine play, a segment it ventured into after the outbreak of the pandemic. “Here, we want to be in both human and animal vaccines. Finally, there is a space in innovative technologies, where work is being done on several gene therapies, peptides and mRNA products.” The uniqueness of RLS’s model is that it is end-

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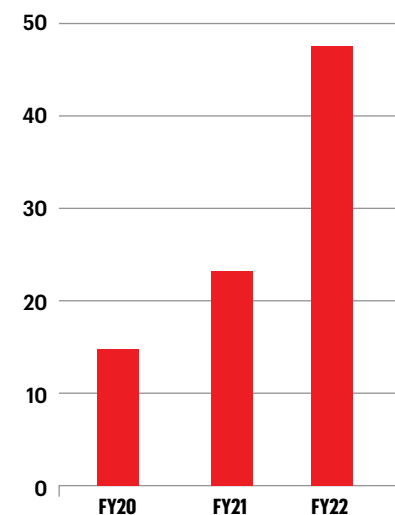
A TIGHTLY RUN SHIP

Reliance Life Sciences has seen its net profits and margins soar



FIGURES IN ₹ CRORE ■ OPERATING REVENUE ■ EBITDA ■ NET PROFIT ■ NET WORTH — NET PROFIT MARGIN (RHS, IN PER CENT); EBITDA EARNINGS BEFORE INTEREST, TAXES, DEPRECIATION AND AMORTISATION; SOURCE TOFLER

GROWTH SURGE



■ RETURN ON EQUITY (%)
SOURCE TOFLER